

CHAROTAR UNIVERSITY OF SCIENCE AND TECHNOLOGY (CHARUSAT)
FACULTY OF MANAGEMENT STUDIES (FMS)
BBA PROGRAMME
SEMESTER – II –UNIVERSITY EXAMINATION, MAY 2018
BM109 MANAGERIAL ACCOUNTING (OLD)
BM109.1 MANAGERIAL ACCOUNTING (NEW)

Date: 04/05/2018, Friday

Time: 10.00 AM to 10.30 AM

Total Marks: 15

Student's ID No.									
Student's Name: _____									
Student's Sign : _____									
Supervisor's Name : _____									
Supervisor's Sign: _____									

Important Instructions:

- All questions are compulsory.
- This is a closed book examination.
- There are two sections in the question paper. Section – I contains Q. No.: 1 which is of 15 marks and Section – II contains total five questions wherein Q. No.: 2 to 5 are of 10 marks each and Q. 6 is a Case study of 15 marks.
- Section – I should be answered in the given question paper and Section – II should be answered in a separate answer book.
- Maximum time allotted for Section – I is 30 minutes. Answer Book for Section – II will be given when the Question Paper for Section – I is returned. However, candidates who complete Section – I earlier than 30 minutes, can collect Answer Book for Section – II immediately after handing over Section – I question paper.
- Figures on the right indicate marks for each question.

SECTION – I

Q.1 Objective Type Questions:

A) Match the following: (i – vi)

15

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Q. No.:		Probable Answer Keys		Write Your Answer Here
i.	Manufacturing overhead	a)	Can't be specifically traced to or identified with a particular product.	i. –
ii.	Prime cost	b)	Can be specifically traced to or identified with a particular product	ii. –
iii.	Indirect labor costs	c)	Materials that can be identified with a specific product	iii. –
iv.	Direct labor costs	d)	Materials can't be identified with any one product	iv. –
v.	Direct materials	e)	Costs that are identified with goods purchased or produced for resale	v. –
vi.	Indirect Material	f)	Costs other than direct labor, direct materials and direct costs.	vi. –
		g)	Costs of the product and direct labor costs plus direct material costs.	
		h)	Costs that are not included in the inventory valuation	
		i)	Total cost changes in direct proportion to changes in volume	
		j)	Fixed cost remains constant over a relevant range of output	

B) Multiple-Choice Questions (vii – ix) (Note: Encircle the correct answer)**03**

- vii.** A firm sells gadget for Rs. 14 each. The variable costs for each unit are Rs. 8. The contribution margin per unit is:
- a) Rs. 6
 - b) Rs. 8
 - c) Rs. 12
 - d) Rs. 14
- viii.** Proceeds from the sale of equipment used in the business will affect in which part of cash flow
- a) Operating activity
 - b) Investing activity
 - c) Financing activity
 - d) Any of these
- ix.** Increase in outstanding expenses
- a) Increase in working capital
 - b) Decrease in working capital
 - c) Do not affect the working capital
 - d) None of these

C) Fill-in the Blanks (x – xii) You may choose from the following answers:**03**

Operating activities	Financing activities	Investing activities	Cash flow	Fund flow	Depreciation
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- x.** _____ are the principal revenue-producing activities of the enterprise.
- xi.** _____ are the acquisition and disposal of long-term assets and other investments not included in cash equivalents.
- xii.** _____ are activities that result in changes in the size and composition of the owners' capital (including preference share capital in the case of a company) and borrowings of the enterprise

D) True or False (xiii – xv) (Note: Encircle the correct answer)**03**

- xiii.** Total Fixed cost is a cost that does not change with an increase or decrease in the amount of goods or services produced or sold. (True) or (False)
- xiv.** Land and building is an example of variable expenses. (True) or (False)
- xv.** Differential cost is the change of cost arising from an alternative course of action (True) or (False)

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Date: 04/05/2018, Friday

Time: 10.30 AM to 01.00 PM

Total Marks: 55

Note: - (i) All questions are compulsory.

(ii) This is a closed book examination.

(iii) There are two sections in the question paper. **Section – I** contains Q. No.: 1 of 15 marks and **Section – II** contains total five questions where in Q. No.: 2 to 5 are of 10 marks each and Q. 6 is a Case study of 15 marks.

(iv) **Section – I** should be answered in the given question paper and **Section – II** should be answered in a separate answer book.

(v) Maximum time allotted for **Section – II** is 150 minutes.

(vi) Figures on the right indicate marks for each question.

SECTION – II

Q.2 Explain the relationship between management accounting, cost accounting and financial accounting. 10

OR

Q.2 Write short note on cash flow statement & describe the procedure to prepare cash flow Statement. 10

Q.3 Define the following terms; 10
 (i) Total fixed cost and unit fixed cost
 (ii) Total variable cost and unit variable cost

Q.4 A What is differential cost? Explain with one example. How it can help in make or buy decision explain? 05 10

B Assume that a company manufactures and sells a single product as follows: 05

Selling price per unit	Rs. 200
Variable cost per unit	Rs. 100
Total fixed cost	Rs. 10,00,000

Calculate the break even sales units to cover fixed cost and interpret the same.

Q.5 A Write short note on following: 05 10
 (i) Marginal costing
 (ii) Break even Analysis (Explain using break even chart)

B A company's flexible budget at various levels of production reveals the following: 05

Output in '000 units	Selling price per unit (Rs.)	Total semi-fixed cost Rs. (in '000)	Total variable cost Rs. (In '000)	Total Fixed cost Rs. (In '000)
30	24	150	418	142
60	22	150	818	142
90	20	170	1278	142
120	18	170	1579	142
150	16	200	1778	142
180	14	200	1902	142

You are required to prepare a schedule showing the total differential costs and increments in revenue.

Q.6

Calculate cash flow from operations from the following:

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- (i) Profit made during the year 2012 was Rs. 2,25,000 after considering the following items:

	Rs.
(a) Depreciation on fixed on fixed assets	10,000
(b) Amortization of the goodwill	5,000
(c) Transfer to the general reserves	7,000
(d) Profit on sale of land	3,000

- (ii) The following is the position of current assets and current liabilities:

	2012 (Rs.)	2011 (Rs.)
Debtors	15,000	12,000
Creditors	10,000	15,000
Bills Receivable	10,000	8,000
Prepaid Expenses	6,000	4,000